

The Creative Offer Oven

Owner's guide — what it does, how the math works, and how to use it to write seller-finance offers. Covers the original Google Sheet and its upgraded home inside your CRM (Workspace → Oven tab).

What it is

The Offer Oven turns four numbers — **price, down payment, interest rate, term** — into a complete seller-financing offer: the monthly payment, a month-by-month amortization schedule, balloon-payoff scenarios, and the one number that actually sells the deal:

TOTAL PAID TO SELLER — what the seller collects in total, next to what a cash sale pays today.

Sellers reject creative offers when they only hear “monthly payments.” They accept them when they see they collect hundreds of thousands more than a cash sale. The Oven exists to compute and present that number honestly.

The two halves

- **Creative Calc** (sheet tab 1) — the loan itself: payment, schedule, balloons, total to seller.
- **Cash On Cash** (sheet tab 2) — the buyer's side: rent minus payment and expenses = cash flow, and cash-on-cash return on your entry fee (down + assignment fee + closing).

In the CRM both halves live on one screen: loan inputs on the left, results on the right, everything recalculating on every keystroke.

How the math works

1. The loan

Loan amount = purchase price – down payment. The seller “carries” this as the lender.

Monthly payment (amortizing): $PMT = L \cdot r / (1 - (1+r)^{-n})$ where $r = \text{annual rate} \div 12$, $n = \text{years} \times 12$

- **Interest-only**: $PMT = L \cdot r$. The balance never drops; the balloon is the full loan amount.
- **0% seller money** (yes, it happens): $PMT = L \div n$ — straight-line, every dollar is principal.

2. The schedule

Each month: interest = balance $\times$ r , principal = $PMT - \text{interest}$, balance shrinks by the principal. Early payments are mostly interest; late payments mostly principal. Dates advance one calendar month from the first payment date. After the last payment the balance lands on zero to the cent.

3. Balloons

A balloon at year Y means: make normal payments through month $Y \times 12$, then pay the remaining balance in one lump. For the seller it answers “when do I get the rest?”; for you it sets the refinance/resale deadline. The Oven compares up to four balloon years side by side: payoff date, balance due, interest collected, and total to seller under each.

4. Total paid to seller

Down payment + every dollar of interest + the full loan principal (as payments plus the balloon). Principal always comes back whole, so the seller's upside over a cash sale is exactly the interest you pay them — which is why longer horizons pitch bigger numbers.

Known bug in the original sheet (fixed in the CRM): the balloon "Principal Paid" row sums the wrong cell range (its formula anchors at row 12 instead of 16), so it under-reports principal by the first four months' worth. At year 7 of the sheet's own example it shows \$296,654 when the true figure is \$313,662. The CRM computes principal as loan amount – balance, which is exact by definition. Every other sheet cell was verified correct to the cent.

Worked example — the sheet's own numbers

\$2,500,000 price · \$250,000 down (10%) · 4% · 30-year amortizing · first payment 15/01/2023

	Value
Loan amount (seller carries)	\$2,250,000.00
Monthly payment	\$10,741.84
Month 1 interest / principal	\$7,500.00 / \$3,241.84
Balloon yr 7 — balance due	\$1,936,338.10
Balloon yr 7 — interest collected	\$588,653.00
Balloon yr 7 — total to seller	\$3,088,653.00
Full term — total interest	\$1,617,063.89
Full term — TOTAL PAID TO SELLER	\$4,117,063.89
vs a \$2.5M cash sale	+\$1,617,064 (+64.7%)

Read the pitch off that table: “Full price, \$250k at close, \$10,742 a month, and you walk away with \$4.1M instead of \$2.5M.” With a year-7 balloon: “paid in full by December 2029 — you collect \$3.09M.”

How to use it, step by step

- **1. Price & terms.** Enter purchase price, down payment (dollars or percent — the CRM shows both), annual rate, term, and first payment date. Sheet: the red-outlined cells.
- **2. Keep the down below 15%.** That's the sheet's rule and the CRM warns above it — a heavy down kills your entry economics. Restructure (smaller down, better rate for them) instead.
- **3. Add balloon years** (up to four). Shorter balloons comfort sellers who fear waiting 30 years; longer horizons pitch a bigger total. Click a balloon row in the CRM to make it the headline horizon.
- **4. Choose amortizing or interest-only.** Interest-only lowers the payment and keeps the full balloon — useful when cash flow is tight and a refinance is planned.
- **5. Check the buyer's side.** Enter rent, taxes, insurance, other costs, assignment fee. The Oven shows monthly cash flow and cash-on-cash on your real entry (down + fee). **Red flag: PITI above 75% of rent.**
- **6. Pitch it.** “Copy pitch summary” gives a plain-text block for a seller text or email; “Seller PDF” prints a clean one-pager with the hero number up top.
- **7. Save it to the deal.** “Save scenario” attaches the offer (with a label like “Offer A — 10% down / 4% / 30yr, balloon yr 7”) to a lead in your CRM. Save two or three variants and tick them to compare side by side; click any saved scenario to reload it.

Guardrails the CRM enforces

- Down payment must be below the purchase price; above 15% shows the “high entry — restructure” warning.
- Rate 0–20% · term 1–40 years · balloons must fit inside the term · at most 4 balloons.
- Amortization carries full precision internally and rounds only for display — the final balance is within \$0.01 of zero.

- Balloon principal is always loan – balance (the sheet's known bug is not reproduced).

Glossary

Term	Meaning
Seller carryback	The seller acts as the bank and carries a note for price minus down.
Amortizing	Fixed payment; each one is part interest, part principal, until the balance hits zero.
Interest-only	Payment covers interest only; the whole principal remains due at the balloon.
Balloon	A date when the remaining balance is paid off in one lump sum.
PITI	Principal + interest + taxes + insurance — the true monthly carry.
Cash-on-cash	Annual cash flow ÷ cash actually invested (down + assignment fee).
Subject-to	Taking over the seller's existing loan payments (see the Oven's Structures screen).

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